SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 2

The Rational Framework; Intuition vs Deliberation

Decision styles, objectives–problems–decisions, levels, and the six-step model (classify problem, objectives & must/want criteria, creative alternatives, analyse & select, implement, control). Reading: Milkman, Chugh & Bazerman on shifting to Type 2 or leveraging Type 1 (nudges).

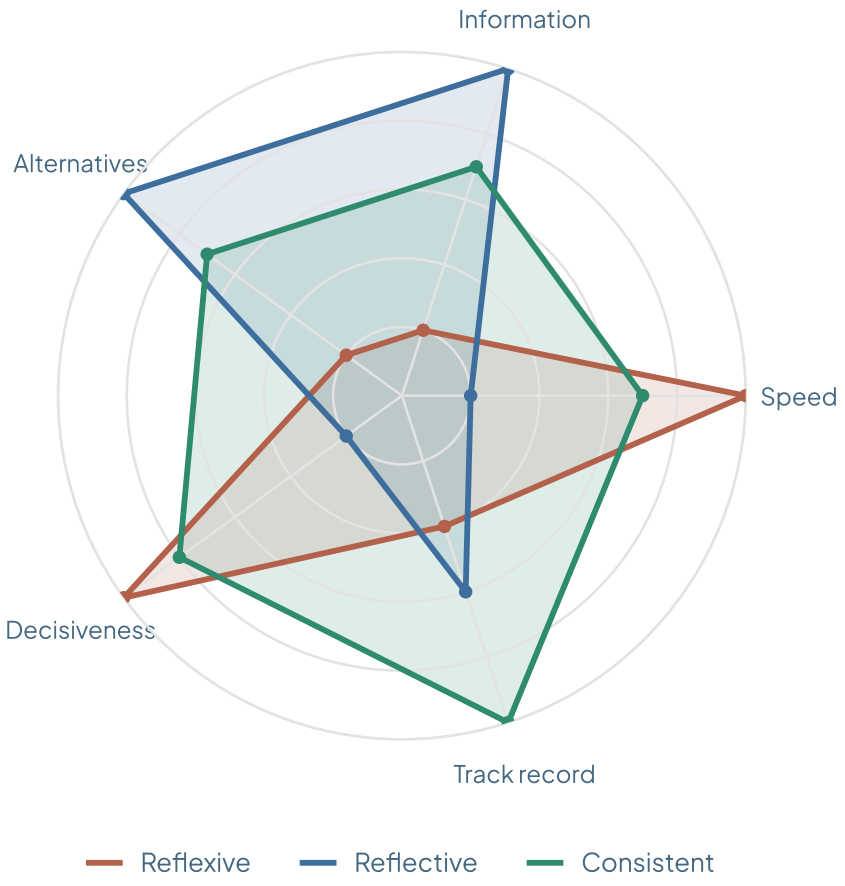
Material

1 Decision-making styles

Reflexive (fast, decisive, wasteful), reflective (thorough, slow), consistent (balanced). A problem is a gap between actual and desired; decision making selects the corrective action. Decisions pervade all management functions and occur at personal, managerial and multiparty levels.

2 The three styles in one chart Deep dive

Decision-style profile (conceptual, 1–5)



The consistent style knows when information is enough.

3 The six-step decision model

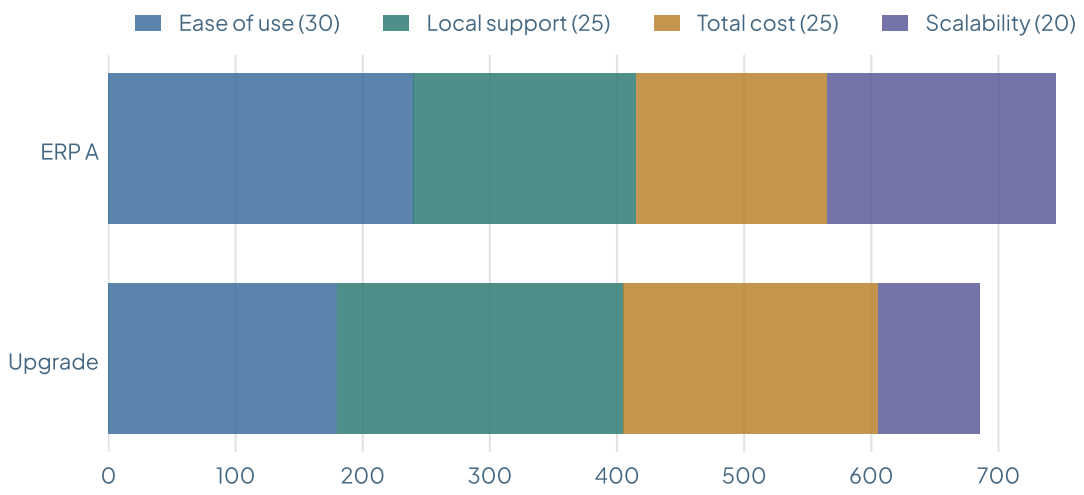
Six steps: classify (programmed/non-programmed; certainty/risk/uncertainty; individual/group; rational/bounded), set objectives and must/want criteria, generate alternatives (brainstorming, synectics, nominal group, consensus mapping, Delphi), analyse and select, plan and implement, control.

4 MUSTs then WANTs: scoring the IT vendors Deep dive

Screen MUSTs first (pass/fail), then score WANTs (illustrative scores).

MUST	Upgrade	ERP A	ERP B	Outsource
Budget ≤ 2bn	✓	✓	×	✓
Tax integration	✓	✓	✓	✓
Data in Indonesia	✓	✓	✓	×

Weighted WANT score (illustrative)




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ERP A 745 vs Upgrade 685
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Check risk next

Assess what could go wrong with the top option.

5 Reading: Intuition vs Deliberation

Type 1 is fast and automatic; Type 2 slow and deliberate. Warnings alone rarely debias. Shift to Type 2: linear models, outsider view, consider the opposite, groups, accountability, analogical reasoning, joint evaluation. Leverage Type 1:

nudges and defaults (401(k)). Want vs should selves and preference reversals; commitment devices help.

6 Two strategies to improve decisions

Deep dive

Shift to Type 2

- Consider the opposite
- Outside view
- Linear models
- Joint evaluation

Leverage Type 1

- Defaults
- Commitment devices
- Planning prompts
- Framing

Key takeaways

1. Reflexive, reflective, consistent.
2. A problem is a gap.
3. Six-step model.
4. MUST vs WANT.
5. Certainty, risk, uncertainty.
6. Shift to Type 2 or nudge Type 1.

Case studies

Case & worked answers

Applying the six steps: choosing an IT vendor

Illustration: classify the problem, set the objective (close books ≤5 days), MUST criteria screen, weighted WANT criteria score, alternatives from brainstorming/Delphi, pilot implementation, monthly checkpoints, and "consider the opposite" before committing.

Practice questions

Try answering first. The answer key is below each question.

1. A pass/fail, unweighted criterion is a…

A. WANT
B. MUST
C. Attribute
D. Swing weight

Answer: B. MUSTs screen; WANTs compare.

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2. Choosing a 'good enough' option is…

A. Optimising
B. Satisficing
C. Anchoring
D. Groupthink

Answer: B. Bounded rationality.

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3. Anonymous experts over several rounds is…

A. Brainstorming
B. Synectics
C. Delphi
D. Nominal grouping

Answer: C. Delphi reduces social pressure.

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4. Automatic pension enrolment is…

A. Type 2 shift
B. A default nudge
C. Risk analysis
D. Delphi

Answer: B. Uses Type 1 inertia.

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5. The main reason decisions aren't implemented…

A. Too few options
B. No detailed who–what–when plan
C. Wrong weights
D. Too much data

Answer: B. Steps 5–6.

Sources

- [Share] Rational Framework of Decision Making and Negotiation (MK5 W2)
- Milkman, Chugh & Bazerman, 'How Can Decision Making Be Improved?', Rotman Magazine 2010
- Thaler & Sunstein, Nudge